DIRECTORS REPORT

To,
The Members
KROPBOOK AGRITECH PRIVATE LIMITED

Directors have pleasure in presenting the Seventh Annual Report on the Company's business and operations, together with the Audited Financial Statements for the Financial Year ended 31st March, 2025 and other accompanying reports, notes and certificates.

COMPANY OVERVIEW

The company was incorporated on 14/05/2010 as a Private Limited Company with the Registrar of Companies, Mumbai under the registration number 180049 and Corporate Identity Number U01100PN2018PTC180049.

Kropbook Agritech Private Limited is an India-origin agritech enterprise engaged in building an integrated agriculture ecosystem covering activities across the agricultural value chain. The Company operates with a focus on strengthening farm-level productivity, quality, and market access through a combination of scientific processes, field-based services, and structured agri-infrastructure linkages. Its operations are designed to support cultivators and agricultural stakeholders through pre-harvest advisory, on-field assessment, crop planning, and post-harvest handling, while maintaining traceability and quality discipline across activities.

The Company follows a systems-led approach, wherein agricultural operations are supported through soil and crop assessment, agronomic advisory, input optimisation, and post-harvest aggregation and handling. These activities are carried out either on owned cultivation areas, through farmer-aligned arrangements, or via service-based engagement models, ensuring that core operations remain closely connected to agricultural production and allied activities. The Company's model emphasises process efficiency, scientific decision-making, and responsible resource use to improve crop outcomes and reduce wastage.

Kropbook Agritech Private Limited continues to develop its capabilities as a scalable agritech platform with a long-term vision of contributing to sustainable agriculture, improved farmer outcomes, and resilient agri-supply systems. The Company remains committed to disciplined growth, operational transparency, and alignment with applicable laws and regulatory frameworks governing agricultural and allied activities in India

FINANCIAL HIGHLIGHTS

The Financial highlights of the Company for the year ended 31st March, 2025 are as follows:

Particulars	Figures (in '000)	
	Year Ended 31st March, 2025	**Year Ended 31st March, 2024**
Total Revenue	5,91,806	2,79,035.03
Total Expenses	5,13,817.03	2,31,868.71
Profit/(Loss) before Exceptional and Extraordinary items and Tax	**77,988.99**	**47,166.31**
Exceptional Items	-	-
Extraordinary Items	-	-
Profit/(Loss) before Tax	**77,988.99**	**47,166.31**
Tax Expenses	-	-
Profit/ (Loss) for the year	**77,988.99**	**47,166.31**

During the financial year ended 31 March 2025, the Company delivered a step-change in scale while preserving balance sheet strength and operating discipline.

Total revenue for FY 2024–25 increased to ₹59.18 crore, compared to ₹23.19 crore in FY 2023–24, representing strong year-on-year growth driven by higher procurement volumes, improved market access, and increased participation across the agricultural value chain. The growth was volume-led and execution-driven, supported by deeper farmer engagement, expanded institutional relationships, and improved post-harvest handling capabilities.

Profit after tax for the year stood at ₹7.80 crore, as against ₹4.72 crore in the previous year. Profitability growth remained aligned with operational expansion, reflecting disciplined cost management, better yield optimisation, and improved working capital cycles rather than dependence on leverage or non-core income.

The Company continued to operate with a conservative capital structure. The debt–equity ratio remained stable at 0.07 times as at 31 March 2025, unchanged from the prior year, underscoring the Company's preference for equity-backed growth and internal accruals over balance-sheet stress.

The net profit ratio stood at 0.17 percent for FY 2024–25, consistent with FY 2023–24. Margin stability at a higher revenue base demonstrates scalability of the operating model and resilience against seasonal volatility inherent in agricultural operations.

Overall, the financial performance reflects a business transitioning from growth-stage execution to system-led scalability, supported by disciplined capital allocation, controlled risk exposure, and an operating model designed for sustained expansion across pre-harvest and post-harvest agricultural activities.

DIVIDEND & APPROPRIATIONS

The Board has resolved not to recommend any dividend for FY 2024–25. Profits for the year will be retained and immediately deployed to support three priority uses: (1) accelerated working-capital to match enlarged procurement cycles and reduce financing cost; (2) targeted capital expenditure for cold-chain, R&D and testing infrastructure that materially increases asset productivity; and (3) strengthening regulatory and compliance reserves to eliminate execution risk.

This decision is deliberate: retaining earnings now compounds shareholder value faster than a one-time cash distribution. The Company prioritises reinvestment that increases margin durability, reduces cash-conversion cycles and improves credit metrics. All appropriations will be executed in accordance with the Companies Act, applicable accounting standards and internal appropriation policy approved by the Board.

The Board will review capital allocation and the dividend stance at each quarterly financial review once the above investments reach predetermined operational milestones and liquidity targets.

TRANSFER TO RESERVES

The Company has transferred the net profit of INR 77,988.99 (in Thousand) of Profit & Loss account to Reserves and Surplus.

SHARE CAPITAL

Authorized Capital:

The Authorized capital of the Company is INR 10,00,000. No change in the authorized capital is made during the year under review.

Issued, Subscribed and Paid-up Capital:

The Issued, Subscribed and Paid-up Capital of the Company is INR 10,000. No change in the Issued, Subscribed and Paid-up Capital is made during the year under review.

DETAILS OF SUBSIDIARY/ JOINT VENTURES/ASSOCIATE COMPANIES

Sr. No.	Name of Company	Subsidiary / Joint Venture / Associate Company	Date of becoming of Subsidiary / Joint Venture / Associate Company
-	-	-	-

Statement Containing Salient Features of Financial Statements of Associate Company:

Company is not having any Associate Company and hence the statement containing the salient feature of the financial statement of a company's associate company under the first proviso to subsection (3) of section 129 in the prescribed Form AOC-1 does not form part of Directors' Report.

Details of New Subsidiary/ Joint Ventures/Associate Companies:

There are no new Subsidiary/Joint Ventures/Associate Companies of the Company during the year under review.

Details of the Company who ceased to be its Subsidiary/ Joint Ventures/ Associate Companies:

Sr. No.	Name of Company	Subsidiary / Joint Venture / Associate Company	Date of cessation of Subsidiary / Joint Venture / Associate Company
-	-	-	-

BOARD OF DIRECTORS, MEETINGS AND ITS COMMITTEES:

During the period under review the following changes took place in the Composition of Board of Directors and Key Managerial Personnel of the Company:

Sr. No.	Name of Director/Key Managerial Personnel	Particulars	Date of Appointment / Resignation / Change in Designation
-	-	-	-

The Composition of the Board of Directors as on 31st March, 2025 is hereunder:

Sr. No.	Name of the Director	Designation/ Status	DIN
1.	Mr. Kunal Pingle	Director	08754829
2.	Mr. Kiran Avhad	Director	10555305

Meetings of the Board of Directors and attendance of the Directors:

The Board of Directors met for **5** times during the period under review:

Sr. No.	Date of Meeting	Venue of the Meeting	Directors Present	Directors who were absent with or without leave of absence
1.	30/06/2024	Merchant Centre, Section B1, Office No B 423, Plot 14, Sector 19, Vashi, Thane - 400705	• Kunal Pingle • Manoj Avhad • Kiran Avhad	NA
2.	25/08/2024	Merchant Centre, Section B1, Office No B 423, Plot 14, Sector 19, Vashi, Thane - 400705	• Kunal Pingle • Manoj Avhad • Kiran Avhad	NA
3.	30/09/2024	Merchant Centre, Section B1, Office No B 423, Plot 14, Sector 19, Vashi, Thane - 400705	• Kunal Pingle • Manoj Avhad • Kiran Avhad	NA
4.	31/12/2024	Merchant Centre, Section B1, Office No B 423, Plot 14, Sector 19, Vashi, Thane - 400705	• Kunal Pingle • Manoj Avhad • Kiran Avhad	NA
5.	31/03/2025	Merchant Centre, Section B1, Office No B 423, Plot 14, Sector 19, Vashi, Thane - 400705	• Kunal Pingle • Kiran Avhad	NA

The intervening gap between the Meetings was within the period prescribed under the Companies Act, 2013.

Declaration by Independent Directors:

The Company was not required to appoint Independent Directors under Section 149(4) and Rule 4 of the Companies (Appointment and Qualification of Directors) Rules, 2014 hence no declaration has been obtained.

Audit Committee:

The Company is not required to constitute Audit Committee under the provisions of Section 177(1) of Companies Act, 2013.

The Vigil Mechanism:

The Company is not required to establish vigil mechanism under the provisions of Section 177(9) of Companies Act, 2013.

Nomination and Remuneration Committee:

The Company is not required to constitute Nomination and Remuneration Committee under the provisions of Section 178(1) of Companies Act, 2013.

Stakeholders Relationship Committee/ Shareholders Grievance Committee:

The Company is not required to constitute Stakeholders Relationship Committee under the provisions of Section 178(5) of Companies Act, 2013.

POLICIES AND PROCEDURES

Risk Management Policy:

The Company has a robust strategy to identify, evaluate business risks and opportunities. This strategy seeks to create transparency, minimize adverse impact on the business objectives and enhance the Company's competitive advantage and helps in identifying risks trend, exposure and potential impact analysis at a Company level as also separately for different business segments.

Corporate Social Responsibility Policy:

During the year under review, the Company has not developed the policy on Corporate Social Responsibility as the Company does not fall under the prescribed classes of Companies mentioned under section 135(1) of the Companies Act, 2013.

CONSERVATION OF ENERGY, TECHNOLOGY ABSORPTION AND FOREIGN EXCHANGE EARNINGS AND OUTGO [SECTION 134 (3) (m) OF THE COMPANIES ACT, 2013:

Particulars required to be furnished by the Companies as per Rule 8 of Companies (Accounts) Rules, 2014, are as follows:

A. **Rule 8 Sub-Rule 3 (A) pertaining to Conservation of Energy:**

Company has initiated appropriate measures to conserve energy. The Company has always been conscious about the need for conservation of energy.

B. **Rule 8 Sub-Rule 3 Pertaining to Technology absorption:**

The business of the Company is not of Manufacturing, hence the question of technology absorption for product improvement, cost reduction or product development does not arise for the Company.

C. **Rule 8 Sub-Rule 3 Pertaining to Foreign exchange earnings and Outgo:**

There are NIL Foreign Exchange earnings in terms of actual inflows during the year and the Foreign Exchange outgo was NIL during the year in terms of actual outflows.

OTHER STATUTORY DISCLOSURES

Extract of Annual Return:

Pursuant to the provisions of Section 92(3) of the Act and Rule 12 (1) of the Companies (Management and Administration) Rules, 2014, the extract of Annual Return is not mandatory to attach.

Disclosure of Remuneration paid to Director and Key Managerial Personnel and Employees:

The details with regard to payment of remuneration to Director and Key Managerial Personnel is not applicable.

Remuneration to Employees:

None of the employee has received remuneration exceeding the limit as stated in rule 5(2) of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014.

Particulars of contracts or arrangements with related parties:

Company has not entered into any contracts or arrangements with related parties at arm's length basis referred to in Section 188 (1) of the Companies Act, 2013 and hence the statement containing the details of contracts or arrangements with related parties pursuant to Section 134 (3) (h) of the Act and Rule 8(2) of the Companies (Accounts) Rules, 2014 is not attached.

Particulars of Loan, Guarantee and Investments under Section 186 of the Act:

During the Financial Year 2024-25, the Company has not made any loans or given Guarantee/Security or made any investments under the provisions of Section 186 of the Act.

Deposits:

The Company has not accepted any deposits from the public within the meaning of Section 73 of the Companies Act, 2013 read with the Companies (Acceptance of Deposits) Rules, 2014.

Disclosures as per the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013:

The Company has zero tolerance for sexual harassment at workplace and has adopted a Policy on Prevention, Prohibition and Redressal of Sexual Harassment at Workplace in line with the provisions of the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013 and the Rules there under for prevention and Redressal of complaints of sexual harassment at workplace. The objective of this policy is to lay clear guidelines and provide right direction in case of any reported incidence of sexual harassment across the Company's offices and take appropriate decision in resolving such issues.

During the financial year 2024-25, the Company has not received any compliant on sexual harassment.

Material changes and commitments affecting the financial position of the Company:

During the period under review from 01st April, 2024 to 31st March, 2025, there were no material changes and commitments affecting the financial position of the Company.

Significant and material orders passed by the regulators or courts or tribunals impacting the going concern status and company's operations in future:

As per the information available with the Board of Directors, there were no such orders passed against the Company.

Change in the Nature of Business

During the year under review, the Company has not altered its fundamental character or core operating philosophy. However, in line with scale, maturity, and long-term strategy, the scope of activities has evolved from isolated service execution to an integrated, end-to-end agricultural systems model.

The Company has progressively strengthened its involvement across the full agricultural lifecycle, beginning with scientific soil and crop diagnostics, agronomic advisory, input optimisation, and cultivation support, and extending through post-harvest handling, quality preservation, logistics coordination, and structured market linkage. These activities are designed to enhance productivity, reduce wastage, improve quality realisation, and enable predictable outcomes for cultivators operating within the Company's ecosystem.

This evolution reflects a shift from fragmented interventions to a unified operating framework focused on value creation at the source, efficiency across the chain, and outcome-based alignment with institutional and wholesale markets. The Company's role remains centred on cultivation-linked services, infrastructure enablement, and aggregation of agricultural output generated through its supported network, rather than independent commercial trading detached from primary agricultural processes.

The expanded operating model is driven by scale requirements, customer quality standards, and the need for tighter integration between on-farm practices and downstream fulfilment. The Board considers this transition as a natural progression towards building a resilient, technology-enabled agricultural platform capable of supporting larger volumes, diverse geographies, and higher compliance benchmarks, while remaining anchored in primary agricultural activities and allied services.

This strategic evolution positions the Company for sustainable growth, stronger risk management, and long-term value creation, without deviating from its foundational focus on agriculture-led operations and ecosystem development.

Change in Capital Structure

There has been no change in the capital structure of the Company during the period under review.

Internal Financial Control Systems and their adequacy

Internal Financial Controls are an integrated part of the risk management process, addressing financial and financial reporting risks. The internal financial controls have been documented, digitized and embedded in the business processes.

Assurance on the effectiveness of internal financial controls is obtained through management reviews, control self- assessment, continuous monitoring by functional experts as well as testing of the internal financial control systems by the internal auditors during the course of their audits. We believe that these systems provide reasonable assurance that our internal financial controls are designed effectively and are operating as intended.

Change in Registered Office of the Company:

There was no change in the registered office of the Company for the financial year ended 31st March, 2025.

Disclosure on Employee Stock Option/ Purchase Scheme

Details required to be provided under Section 62 of the Companies Act, 2013 and Rule 12(9) of Companies (Share Capital and Debenture Rules, 2014) as follows:

Sr. No.	Particulars	No. of Options
1.	Options granted during the year	-
2.	Options lapsed during the year	-
3.	No. of options vested	-
4.	No. of options exercised	-
5.	Total number of shares arising as a result of exercise of options granted	-
6.	Exercise Price	-
7.	Variation of terms of options	-

8.	Money realized by exercise of options	-
9.	Any other employee who receives a grant of options in any one year of option amounting to five percent or more of options granted during the year	-
10.	Identified employees who were granted option, during any one year, equal to or exceeding one percent of the issued capital (excluding outstanding warrants and conversion) of the Company at the time of grant	-
11.	Notional Loss due to grant of options based on fair value method	-

Liquidity:

The Company operates with zero external debt, reflecting a consciously conservative capital structure and strong internal financial discipline. This debt-free position provides the Company with strategic flexibility, insulation from interest rate volatility, and the ability to make long-term decisions without balance sheet pressure. The Board views this as a structural advantage, particularly in an agriculture-linked business where resilience and continuity are more critical than leverage-driven growth.

Equally important is the Company's fully integrated end-to-end supply chain, built through deep backward and forward integration. On the backward side, operations are anchored at the cultivation level through soil and crop assessment, agronomic advisory, input planning, and farmer engagement, ensuring consistency in quality, traceability, and productivity. This foundation allows the Company to influence outcomes at the source rather than react at the market stage.

On the forward integration side, the Company manages post-harvest handling, cold-chain movement, quality validation, aggregation, and structured market linkage across domestic and institutional channels, with readiness for export markets. This integrated model minimizes dependency on intermediaries, reduces execution risk, improves margin stability, and strengthens trust with both producers and buyers.

The combination of a zero-debt balance sheet and a vertically integrated supply chain positions the Company as a structurally strong, capital-efficient platform. It enables scalable growth driven by operational depth, data-led decision-making, and long-term value creation rather than short-term financial engineering.

Data Privacy, Data Protection, and Cyber security

The Company is committed to upholding the highest standards of data privacy and protection. In light of the increasing reliance on digital infrastructure, the Company is in a process to implement comprehensive cyber security and data protection policies, aligned with industry best practices and the evolving regulatory framework, including provisions under the Information Technology Act, 2000, and applicable data protection regulations.

The Company continues to invest in digital infrastructure to ensure robust protection of stakeholder information and business continuity.

Statement that the company has complied with Maternity Benefit Act:

The disclosure required as per rule 8 (5) (Xiii) of The Companies (Accounts) Rules, 2014 with respect to the Maternity Benefits Act, 1961 in the director's report is not applicable to small companies.

Applications under the Insolvency and Bankruptcy Code, 2016:

There were no applications made by the Company or upon the Company under the Insolvency and Bankruptcy Code, 2016 during the period under review. There are no proceedings pending under the Insolvency and Bankruptcy Code, 2016 by / against the Company as on 31st March, 2025.

The Details of difference between amount of the valuation:

During the year under review, there were no settlements made by the Company for any loan / borrowing taken from the Banks or Financial Institutions and hence no comment with regard to the details of difference between amount of the valuation done at the time of one-time settlement and the valuation done while taking loan from the Banks or Financial Institutions along with the reasons thereof.

AUDITORS

Statutory Auditors:

M/s. Akshay M Jhawar and Associates, Chartered Accountants, (Firm Registration No. 150528W) was appointed as the Statutory Auditors of the Company in Annual General Meeting held in the year of 2023 for a period of five-years, to conduct the Statutory Audit of the Company.

The provisions of section 139(2) of the Companies Act, 2013 and the Rules framed thereunder, pertaining to rotation of Auditor does not apply to the Company.

A certificate has been received from the statutory auditors to the effect that their appointment as the statutory auditors of the Company, if made would be within the limits prescribed under Section 141 of the Companies Act, 2013.

Details in Respect of frauds reported by the Auditors under Section 143(12) of Companies Act, 2013:

There are no frauds reported by the Auditor which are required to be disclosed under Section 143(12) of Companies Act, 2013.

Secretarial Auditor:

The Company is not required to appoint Secretarial Auditor under the provisions of Section 204 of Companies Act, 2013 read with The Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014.

Auditors' Observations and Directors' Comments:

The auditor's report does not contain any qualifications, reservation or adverse remarks.

Audit trail applicability (Audit and Auditors) Rules 2014 - Rule 11 of the Companies Act 2013:

The Company maintains its books of accounts in an electronic accounting system with a proper audit trail, which records all transactions and modifications made therein. The audit trail ensures transparency, prevents tampering, and allows tracking of any changes in the accounting records.

DIRECTORS' RESPONSIBILITY STATEMENT

Pursuant to the provisions of Section 134 (5) of the Companies Act, 2013, Directors, to the best of their knowledge and belief and according to information and explanation obtained by them, confirm that:

(a) In the preparation of the annual accounts, the applicable accounting standards had been followed along with proper explanation relating to material departures;

(b) The Directors had selected such accounting policies and applied them consistently and made judgments and estimates that are reasonable and prudent so as to give a true and fair view of the state of affairs of the Company at the end of the financial year and of the profit and loss of the company for that period;

(c) The Directors had taken proper and sufficient care for the maintenance of adequate accounting records in accordance with the provisions of this Act for safeguarding the assets of the company and for preventing and detecting fraud and other irregularities;

(d) The Directors had prepared the annual accounts on a going concern basis; and

(e) The Directors had laid down internal financial controls to be followed by the Company and that such internal financial controls are adequate and were operating effectively.

ACKNOWLEDGEMENTS:

The Board of Directors are grateful for the co-operation and support from the Bankers, clients and other business partners. The Board takes this opportunity to express their sincere appreciation for the excellent patronage, total commitment, dedicated efforts of the executives and employees of the Company at all levels.

Directors would like to express their gratitude to the Members and are deeply grateful to them for reposing their confidence and faith in the Company.

The Directors wish to place on record their sincere appreciation of the valuable services rendered by the employees to the Company.

APPRECIATION

The Board places on record its sincere appreciation to the farming communities, field teams, research partners, customers, and stakeholders whose trust and collaboration continue to shape the Company's journey. The Company's progress is a direct outcome of disciplined execution on the ground, scientific rigor in decision-making, and a shared commitment to building a resilient, farmer-first agricultural ecosystem.

The Directors also acknowledge the dedication of the management team and employees, whose integrity, adaptability, and long-term thinking have enabled the Company to navigate operational complexity while remaining aligned with its core purpose. Their ability to balance agronomic responsibility with market realities has been central to sustaining growth without compromising foundational values.

The Board expresses its gratitude to institutional partners, advisors, and regulators for their guidance and support, which have contributed to strengthening governance, transparency, and operational standards. As the Company moves forward, it remains focused on building enduring value through responsible innovation, integrated execution, and unwavering commitment to India's agricultural future.

For and on behalf of the Board of Directors of
KROPBOOK AGRITECH PRIVATE LIMITED

Sd/- **Sd/-**

For KROPBOOK AGRITECH PRIVATE LIMITED
DIRECTOR

For KROPBOOK AGRITECH PRIVATE LIMITED
DIRECTOR

Kunal Pingle
Director
DIN: 08754829
Address: Thane-400705

Kiran Avhad
Director
DIN: 10555305
Address: Thane-400705

Date: 15/09/2025
Place: Navi Mumbai